

- **market ETFs:** they invest in indexes, like the S&P 500
- **bond ETFs:** you can buy a basket of bonds (remember bonds as those loans you give to governments or organisations) as an ETF
- **sector ETFs:** these are ETFs that invest in just one sector, like a basket of just healthcare companies or a basket of just car companies; the most common type is a basket of tech companies
- **foreign market ETFs:** these let you invest in overseas companies outside of your home country
- **actively managed ETFs:** yup, to throw everything you've just learned into the gutter, sometimes ETFs can be actively managed too. They're not always following an index fund. These ETFs are basically like actively managed mutual funds, but you can buy a per cent of them and their price varies throughout the day. Ark Innovative ETFs are currently one of the best-known actively managed ETFs on the market. Created by Cathie Wood, their goal is to try and beat the market ETFs by investing in emergent technology, such as stem cell research.

Funds (or baskets) can be used to hold more than just companies; they can also be used for real estate. Enter REITs.

REITs

REITs, or real estate investment trusts, are the funds of the real estate world. Rather than investing in a basket of companies, you now get to invest in a basket of real estate: usually commercial real estate, which is real estate that businesses hire for their companies or stores, rather than homes or apartments where people live.

REITs are a great way for people to get some exposure into the world of real estate without being a landlord. You don't have to manage the real estate, you don't have to deal with contracts or tenants. It doesn't matter if there is a leak in the roof — that is all dealt with.

REITs are also a good option for those who are uncomfortable with the idea of directly being a landlord for private property. By choosing commercial real estate REITs, the younger generations are expressing their moral stance